

Abuse of Managerial Compensation. Numerous cases have come to light in which the actions of the management in the matter of its own compensation have been open to serious question. Most of these relate to the years before 1933. In the case of Bethlehem Steel Corporation, cash bonuses clearly excessive in amount were paid. In the case of American Tobacco Company, rights to buy stock below the market price, of an enormous aggregate value, were allotted to the officers. These privileges to buy stock are readily subject to abuse. In the case of Electric Bond and Share Company, the management permitted itself to buy many shares of stock at far below market price. When later the price of the stock collapsed to a figure less than the subscription price, the obligation to pay for the shares was cancelled, and the sums already paid were returned to the officers. A similar procedure was followed in the case of White Motor Company, which will be more fully discussed later in this chapter.

Some of these transactions are explained, and partly justified, by the extraordinary conditions of 1928–1932. Others are inexcusable from any point of view. Nevertheless, human nature being what it is, such developments are not in the least surprising. They do not really reflect upon the character of corporate managements but rather on the patent un wisdom of leaving such matters within the virtually uncontrolled discretion of those who are to benefit by their own decisions.

The new regulations have done much to dispel the mist of secrecy that formerly shrouded the emoluments and stockholdings of corporate officials. Information on salaries, bonuses and stock options must be filed in connection with new security offerings, with the registration of issues on a national exchange, with the subsequent annual reports to the Commission and with the solicitation of proxies.¹ Although these data are not complete, they are sufficient for the practical purpose of advising the stockholders as to the cost of their management. Similarly, stockholdings of officers, directors and those owning 10% of a stock issue must be revealed monthly.

Since this information is not too readily accessible to the individual stockholder, the statistical agencies could further improve their already excellent service by subjoining the salary and stockholding data to their annual lists of officers and directors.

¹ Also, under provisions of the Revenue Act of 1936 the Treasury published the names and compensation of all corporate officers receiving over \$15,000 in that year. The Revenue Act of 1938 requires these data for salaries of \$75,000 or more, beginning with 1938.